



2018–2019

MID-YEAR BUDGET AMENDMENT

Fiscal Year: July 1, 2018 — June 30, 2019

HATTIE MAE WHITE EDUCATIONAL SUPPORT CENTER
4400 West 18th Street • Houston, Texas 77092

www.HoustonISD.org

HOUSTON INDEPENDENT SCHOOL DISTRICT

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MID-YEAR BUDGETARY UPDATE 2018-2019

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GENERAL FUND

The recommended budget for the General Fund for the 2018-2019 fiscal year was adopted on June 25, 2018. The appropriations were \$2,043,345,624, with corresponding estimated revenues of \$2,007,745,003. The district projected use of \$18,436,625 from the assigned reserve for Public Facility Corporation payments resulting in a deficit of \$17,163,996 for the fiscal year.

Mid-Year Budgetary Update

Revenues

The adjusted budget for the General Fund revenues and other financing sources includes a net increase of \$88,121,194 from the original budget, as shown in more detail on page 5.

The major changes in revenue are listed below:

Increases

- Increase of \$16,817,372 in Current Year Taxes
- Increase of \$40,000,000 in Teacher Retirement System (TRS) On Behalf, this is offset by the same amount in TRS On Behalf expenditures
- Increase of \$17,034,739 in capital lease proceeds, this is offset by the same amount in capital lease expenditures
- State sources increase of \$3,037,613 in Foundation School Program
- Federal sources experienced an increase of \$5,582,309 due to the reassignment of the Build America Bond Subsidies (BABS) from the debt service fund to the general fund
- Receipt of \$8,518,889 for Harvey insurance claims
- Increase of \$1,519,273 in Federal revenue through TEA

Decreases

- Decrease of \$4,400,000 in transfers from the Medicaid Fund
- Decrease of other state revenues of \$1,140,000

Appropriations

Appropriations show a net increase of \$151,381,307 as shown in more detail on page 4.

The major changes in appropriations are listed below:

- Items approved during 2018-2019 by the HISD Board of Education in the amount of \$3,252,703. Details are listed below:
 - \$4,331,902 for teacher step salary increase
 - \$450,000 for legal settlement
 - \$1,529,199 appropriation reduction for Kandy Stripe closure

Increases

- Carryover encumbrances of \$81,731,396 which includes funds reservation and ERP projects
- TRS on behalf expenses in the amount of \$40,000,000
- Capital lease recognition in the amount of \$17,034,739
- Achieve 180 budget increase in the amount of \$4,303,151
- Wrap Around budget increase in the amount of \$6,483,724
- State Compensatory Education expenditures in the amount of \$9,641,117
- Transportation for the 4 Hurricane Harvey rebuild schools in the amount of \$4,053,000
- Charter school enrollment funding increase in the amount of \$2,727,968
- Self-insurance budget increase in the amount of \$1,000,000

Decreases

- Recapture payment reduction in the amount of \$11,017,296 primarily due to a provision in the Texas Education Code which allows the Texas Education Agency (TEA) commissioner to reduce recapture to offset unreimbursed Hurricane Harvey costs
- Campus PUA enrollment decline in the amount of \$8,083,444

Budget

Final budgeted revenues and other sources total \$2,095,866,197. The appropriations budget for the General Fund is \$2,194,726,930 including carryover. Taking into account both assigned and unassigned reserve adjustments, and changes in revenues and appropriations, the district's budgeted unassigned fund balance will increase by an additional \$18,471,283 resulting in a surplus of \$1,307,287.

HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF OPERATIONS BY FUNCTION
GENERAL FUND
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

ESTIMATED REVENUES	Adopted Budget	Carryover	Mid-Year Adjustments	Mid-Year Adjusted Budget
Local sources	\$ 1,749,167,264	\$ -	\$ 26,081,219	\$ 1,775,248,483
State sources	215,146,388	-	42,297,613	257,444,001
Federal sources	13,031,351	-	7,107,623	20,138,974
Total estimated revenues	\$ 1,977,345,003	\$ -	\$ 75,486,455	\$ 2,052,831,458
ESTIMATED APPROPRIATIONS	Adopted Budget	Carryover	Mid-Year Adjustments	Mid-Year Adjusted Budget
Instruction	\$ 1,000,417,027	\$ 12,133,517	\$ 26,888,070	\$ 1,039,438,614
Instructional resources and media services	9,691,146	79,214	400,102	10,170,462
Curriculum and Instructional Staff Development	22,966,777	1,233,972	2,194,292	26,395,042
Instructional leadership	29,448,219	762,964	(2,096,418)	28,114,766
School leadership	137,909,124	106,448	4,514,621	142,530,193
Guidance, counseling and evaluation services	46,214,725	2,284,334	2,976,457	51,475,516
Social work services	1,816,958	-	5,940,848	7,757,806
Health services	18,638,980	5,825	1,278,462	19,923,267
Student transportation	57,081,236	1,555,356	10,373,529	69,010,121
Food services	-	-	-	-
Co-Curricular/extracurricular activities	16,157,960	438,905	1,465,809	18,062,674
General administration	35,679,582	846,164	1,958,030	38,483,775
Plant maintenance and operations	184,556,245	16,120,399	4,558,912	205,235,556
Security and monitoring services	22,017,162	357,108	907,513	23,281,783
Data processing services	47,156,793	44,959,529	2,556,992	94,673,314
Community services	2,044,672	7,064	333,285	2,385,020
Juvenile justice alternative education programs	893,650	-	(100,000)	793,650
Tax reinvestment zone payments	59,031,258	-	301,367	59,332,625
Contracted Instructional Services Between Public Schools (Chapter 41 Payment)	272,407,268	-	(10,932,526)	261,474,742
Tax appraisal and collection	14,940,330	732,264	157,402	15,829,996
Debt Service - Principal	17,914,739	-	16,154,739	34,069,478
Debt Service - Interest and Fiscal Charges	-	-	-	-
Facilities acquisition and construction	-	108,332	22,944	131,276
Total estimated appropriations	\$ 1,996,983,851	\$ 81,731,396	\$ 69,854,431	\$ 2,148,569,677
Excess (deficiency) of estimated revenues over (under) appropriations	\$ (19,638,848)	\$ (81,731,396)	\$ 5,632,024	\$ (95,738,219)
OTHER FINANCING SOURCES (USES)				
Proceeds from the sale of capital leases	-	-	17,034,739	17,034,739
Transfers-in	\$ 30,400,000	\$ -	\$ (4,400,000)	\$ 26,000,000
Transfers-out	(46,361,773)	-	204,520	(46,157,253)
Total other financing sources (uses)	\$ (15,961,773)	\$ -	\$ 12,839,259	\$ (3,122,514)
Net excess (deficiency) before adjustments	\$ (35,600,621)	\$ (81,731,396)	\$ 18,471,283	\$ (98,860,733)
Reserve adjustments	\$ 18,436,625	-	81,731,396	\$ 100,168,021
Unassigned Fund Balance, Beginning	\$ 389,415,008	-	-	\$ 389,415,008
Unassigned Fund Balance, Ending	\$ 372,251,012	-	18,471,283	\$ 390,722,295

HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF BUDGET ADJUSTMENTS
GENERAL FUND
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

APPROPRIATION ADJUSTMENTS	Mid-Year Budget Adjustments
CURRENT YEAR APPROVED ADJUSTMENTS	
Carryover Encumbrances	\$ 37,892,508
Funds Reservation	13,249,332
Enterprise Resource Planning (ERP) Projects	30,589,556
Teacher Step Salary Increase	4,331,902
Legal Settlement	450,000
Kandy Stripe	(1,529,199)
Total Current Year Approved Adjustments	\$ 84,984,099
NEW ADJUSTMENTS	
TRS On-Behalf	\$ 40,000,000
Capital Lease Recognition	17,034,739
Tax Increment Reinvestment Zone	301,367
Achieve 180 Budget Increase	4,303,151
Wrap Around Department Budget	6,483,724
State Compensatory Education Expenditures	5,646,950
Hurricane Harvey Transportation (4 School Rebuild)	4,053,000
TCAH State Compensatory Education	2,431,866
TCAH Prior Year Payment	1,562,301
Charter School Enrollment Increase	2,727,968
Self Insurance Recovery Fund (SIRF)	1,000,000
Harris County Appraisal District (HCAD) Fee	157,402
Campus PUA Enrollment Decline	(8,083,444)
Recapture	(11,017,296)
Transfers Out from Sale of Maintenance Tax Notes/Food Service Payments	(204,520)
Total New Adjustments	\$ 66,397,208
Total Adjustments to Appropriations	\$ 151,381,307
OTHER FINANCING USES ADJUSTMENTS	
Total adjustments to other financing uses	\$ -
Total appropriation and other financing uses adjustments	\$ 151,381,307

HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF REVENUES BY OBJECT
GENERAL FUND
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

REVENUES	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Taxes, current year	\$ 1,712,592,547	\$ 16,817,372	\$ 1,729,409,919
Taxes, delinquent prior years	-	-	-
Taxes, penalty and interest	15,500,000	-	15,500,000
Revenue in lieu of taxes	1,274,717	244,958	1,519,675
Tuition	1,000,000	-	1,000,000
Insurance recovery proceeds	-	8,518,889	8,518,889
Earnings on investments	9,000,000	-	9,000,000
Rentals	800,000	-	800,000
Miscellaneous revenues	6,500,000	-	6,500,000
Revenue other governments	2,500,000	500,000	3,000,000
Foundation school program	87,270,830	3,037,613	90,308,443
Per capita state revenues	86,675,558	-	86,675,558
Other state revenues	1,200,000	(1,140,000)	60,000
TRS on behalf of	40,000,000	40,000,000	80,000,000
State Revenue- NOT TEA-IDC	-	400,000	400,000
Federal revenue through TEA	10,780,727	1,519,273	12,300,000
Federal revenue (BABS subsidy)	-	5,582,309	5,582,309
Army salary revenue	1,690,000	(90,000)	1,600,000
Air Force salary revenue	50,500	9,500	60,000
Navy salary revenue	223,459	86,541	310,000
Direct federal revenue	286,665	-	286,665
Total Revenue	\$ 1,977,345,003	\$ 75,486,455	\$ 2,052,831,458
OTHER FINANCING SOURCES			
Proceeds-leases	-	17,034,739	17,034,739
Transfer from other funds	\$ 30,400,000	(4,400,000)	\$ 26,000,000
Total other financing sources	\$ 30,400,000	\$ 12,634,739	\$ 43,034,739
Total revenues and other sources	\$ 2,007,745,003	\$ 88,121,194	\$ 2,095,866,197
	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Local	\$ 1,749,167,264	\$ 26,081,219	\$ 1,775,248,483
State	215,146,388	42,297,613	257,444,001
Federal	13,031,351	7,107,623	20,138,974
Other	30,400,000	12,634,739	43,034,739
Total revenues	\$ 2,007,745,003	\$ 88,121,194	\$ 2,095,866,197

DEBT SERVICE FUND

The recommended budget for the Debt Service Fund for the 2018-2019 fiscal year was adopted on June 25, 2018. The appropriations were \$341,658,611 with corresponding estimated revenues of \$341,821,202

Mid-Year Budgetary Update

The appropriations budget for the Debt Service Fund (as adjusted) is \$340,304,969. The adjusted revenue and other sources total \$339,253,373. Details of budget adjustments include the following:

Revenues

- Property taxes experienced an increase of \$2,695,632 in current year collections due to an increase in the roll value since the Harris County Appraisal District's Certified Estimated roll in April 2018
- State sources experienced an increase of \$274,533
- Increase of \$44,315 in transfer from other funds
- Federal sources experienced a decrease of \$5,582,309 due to the reassignment of Build America Bond Subsidy (BABS) payments from the debt service fund to the general fund

Appropriations

- Increase of \$513,000 in debt principal expenditures
- Decrease of \$566,642 in interest expenditures
- Decrease of \$1,300,000 in debt service fees

HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF OPERATIONS BY FUNCTION
DEBT SERVICE
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

REVENUES	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Local sources	\$ 278,608,824	\$ 2,695,632	\$ 281,304,456
State sources	2,395,070	274,533	2,669,603
Federal sources	7,111,321	(5,582,309)	1,529,012
Total revenues	\$ 288,115,215	\$ (2,612,144)	\$ 285,503,071
EXPENDITURES	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Debt principal	\$ 193,786,517	\$ 513,000	\$ 194,299,517
Debt interest	145,372,094	(566,642)	144,805,452
Payments to escrow agents - current refunding	-	-	-
Debt service fees	2,500,000	(1,300,000)	1,200,000
Total expenditures	\$ 341,658,611	\$ (1,353,642)	\$ 340,304,969
Excess (deficiency) of revenues over (under) expenditures	\$ (53,543,396)	\$ (1,258,502)	\$ (54,801,898)
OTHER FINANCING SOURCES (USES)			
Transfers-in	\$ 53,705,987	\$ 44,315	\$ 53,750,302
Issuance of bonds and other debt	-	-	-
Premium on the sale of bonds	-	-	-
Payments to escrow agents - cash defeasance	-	-	-
Total other financing sources (uses)	\$ 53,705,987	\$ 44,315	\$ 53,750,302
Net excess (deficiency) of revenues over (under) expenditures	\$ 162,591	\$ (1,214,187)	\$ (1,051,596)
Restricted fund balance, beginning	\$ 120,557,656	-	\$ 120,557,656
Restricted fund balance, ending	\$ 120,720,247	(1,214,187)	\$ 119,506,060

STATEMENT OF REVENUES BY OBJECT
DEBT SERVICE FUND
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

REVENUES	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Transfers from other funds	\$ 53,705,987	\$ 44,315	\$ 53,750,302
Premium on sale of bonds	-	-	-
Issuance of bonds and other debt	-	-	-
Taxes, current year	274,508,824	2,695,632	277,204,456
Taxes, delinquent prior years	-	-	-
Taxes, penalty and interest	2,000,000	-	2,000,000
Sale of bonds	-	-	-
Interest earnings	2,100,000	-	2,100,000
EDA - Hold Harmless	2,395,070	274,533	2,669,603
Federal revenues - BABS subsidy	7,111,321	(5,582,309)	1,529,012
Total revenue	\$ 341,821,202	\$ (2,567,829)	\$ 339,253,373

	Adopted Budget	Mid-Year Adjustments	Mid-Year Adjusted Budget
Local	\$ 278,608,824	\$ 2,695,632	\$ 281,304,456
Federal	7,111,321	(5,582,309)	1,529,012
State Sources	2,395,070	274,533	2,669,603
Other	53,705,987	44,315	53,750,302
Total revenues	\$ 341,821,202	\$ (2,567,829)	\$ 339,253,373

NUTRITION SERVICES FUND

The recommended budget for the Nutrition Services Fund for the 2018-2019 fiscal year was adopted on June 25, 2018. Revenues and appropriations and were estimated at \$142,147,259 and \$139,945,266, respectively.

Mid-Year Budgetary Update

Revenues

Due to the drop in student enrollment resulting in decreased overall participation, total revenues are forecasted to decrease \$3,416,727. The Child and Adult Care Program is expected to show the biggest decline due to lower enrollment and fewer ASP/Enrichment programs. While miscellaneous sources are expected to increase slightly (\$175,953), we expect to see the following decreases in specific program revenues:

- School Breakfast Program - \$1,045,300
- National School Lunch Program - \$795,151
- Child and Adult Care Program - \$1,290,103
- Fresh Fruit and Vegetable Program - \$462,125

Appropriations

Appropriations are increasing \$7,289,158 with the largest changes as follows:

- \$3,448,377 increase in contracted maintenance and repair for custodial and HVAC contracts
- \$3,697,189 increase in food and non-food expenditures as the result of the introduction of salad bars in schools

Budget

The appropriations budget for the Nutrition Services Fund (as adjusted) is \$147,234,424 with corresponding estimated revenue of \$138,730,532. The district's budgeted reserved fund balance will decrease by \$10,705,885 resulting in a deficit of \$8,503,892.

HOUSTON INDEPENDENT SCHOOL DISTRICT
STATEMENT OF OPERATIONS BY FUNCTION
NUTRITION SERVICES FUND
MID-YEAR BUDGETARY UPDATE FISCAL YEAR 2018-2019 (as adjusted)

ESTIMATED REVENUES	Adopted Budget	Carryover	Mid-Year Adjustments	Mid-Year Adjusted Budget
Federal sources	136,218,177	-	(3,592,680)	132,625,497
Other sources	\$ 5,344,082	\$ -	\$ 175,953	\$ 5,520,035
State sources	585,000	-	-	585,000
Total estimated revenues	\$ 142,147,259	\$ -	\$ (3,416,727)	\$ 138,730,532
ESTIMATED APPROPRIATIONS	Adopted Budget	Carryover	Mid-Year Adjustments	Mid-Year Adjusted Budget
Food services	\$ 139,811,096	\$ 1,661,430	\$ 4,697,504	\$ 146,170,030
General administration	-	-	855,121	855,121
Plant maintenance and operations	134,170	-	75,103	209,273
Total estimated appropriations	\$ 139,945,266	\$ 1,661,430	\$ 5,627,728	\$ 147,234,424
Excess (deficiency) of revenues over (under) appropriations	\$ 2,201,993	\$ (1,661,430)	\$ (9,044,455)	\$ (8,503,892)
Net excess (deficiency) of revenues over (under) expenditures	\$ 2,201,993	-	(10,705,885)	\$ (8,503,892)
Restricted Fund Balance, Beginning	\$ 28,219,724	-	-	\$ 28,219,724
Restricted Fund Balance, Ending	\$ 30,421,717	-	(10,705,885)	\$ 19,715,832